



UNEMPLOYMENT

PART A

UNEMPLOYMENT is the biggest obstacle to **ECONOMIC GROWTH**. When workers can't find work, their ability to produce is **WASTED**. Identify the various **TYPES OF UNEMPLOYMENT**, and then answer the questions about unemployment below.

YOU'RE FIRED!

FRictional UNEMPLOYMENT

DEFINITION:

Workers who are temporarily unemployed or currently in between jobs.

A SPECIFIC TYPE OF FRICTIONAL UNEMPLOYMENT IS

**SEASONAL
UNEMPLOYMENT**

WORKER'S ARE

QUALIFIED AND SKILLED
AND WORKER'S SKILLS ARE
TRANSFERABLE



STRUCTURAL UNEMPLOYMENT

DEFINITION:

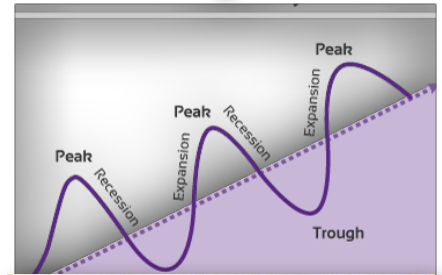
Workers who are unemployed because their skills have become obsolete.

A SPECIFIC TYPE OF STRUCTURAL UNEMPLOYMENT IS

**TECHNOLOGICAL
UNEMPLOYMENT**

THESE JOBS

WILL NEVER RETURN
BECAUSE WORKER'S SKILLS ARE
NOT TRANSFERABLE



CYCLICAL UNEMPLOYMENT

DEFINITION:

Workers who are unemployed because their jobs have been lost due to economic contraction.

THESE JOBS WILL RETURN WHEN
**ECONOMIC CONDITIONS
IMPROVE AND GROW**

THIS TYPE OF UNEMPLOYMENT
EXISTS WHEN THE
UNEMPLOYMENT RATE IS ABOVE

4-6%

NEED
WORK

UNEMPLOYMENT AND THE **LABOR** Force

PART B

A worker must first be part of the **LABOR FORCE** to be considered **UNEMPLOYED**. List the **QUALIFICATIONS** to be considered part of the labor force below. Then read the descriptions provided and determine if each person is **PART OF THE LABOR FORCE**.

QUALIFICATIONS FOR THE **LABOR FORCE** :

- ✓ WORKERS MUST BE WILLING AND ABLE TO WORK.
- ✓ WORKERS MUST BE AT LEAST 16 YEARS OLD.
- ✓ WORKERS CANNOT BE IN THE MILITARY, A FULL-TIME STUDENT, OR RETIRED.
- ✓ WORKERS CANNOT BE INSTITUTIONALIZED.

INCLUDED OR NOT INCLUDED

1. A HIGH SCHOOL STUDENT WHO IS CURRENTLY LOOKING FOR AN AFTER SCHOOL JOB, BUT CANNOT FIND ONE.

INCLUDED OR NOT INCLUDED ?

2. A RECENT COLLEGE GRADUATE WHO IS SENDING OUT JOB APPLICATIONS.

INCLUDED OR NOT INCLUDED ?

3. A MILITARY VETERAN WHO HAS BEEN DISCHARGED AND IS TRYING TO FIND WORK.

INCLUDED OR NOT INCLUDED ?

4. A COLLEGE DROP OUT WHO PLAYS VIDEO GAMES ALL DAY IN HIS PARENTS' BASEMENT.

INCLUDED OR NOT INCLUDED ?

5. A SENIOR CITIZEN WHO COMES OUT OF RETIREMENT TO APPLY FOR A PART-TIME JOB.

INCLUDED OR NOT INCLUDED ?



IDENTIFYING TYPES OF UNEMPLOYMENT

PART C

Use each of the cases below to classify the various **TYPES OF UNEMPLOYMENT**. First, identify whether each example demonstrates **FRICTIONAL**, **STRUCTURAL**, or **CYCLICAL** unemployment. Then, **EXPLAIN** your conclusion.

1. A WAITRESS IS FIRED BECAUSE SHE REGULARLY SHOWS UP LATE TO WORK. FRICTIONAL
EXPLAIN: The waitress is temporarily unemployed and has transferable skills.
2. A VCR REPAIRMAN IS LET GO BY HIS BOSS BECAUSE VCRs ARE OBSOLETE. STRUCTURAL
EXPLAIN: The worker's skills are obsolete, and he will need to learn new skills to find work.
3. A COLLEGE GRADUATE LEAVES HIS PART-TIME JOB FOR A NEW CAREER. FRICTIONAL
EXPLAIN: The worker is temporarily unemployed as he changes careers and he is taking his transferable skills with him to his new job.
4. A CHEF IS FIRED DURING A RECESSION BECAUSE BUSINESS IS SLOW. CYCLICAL
EXPLAIN: The worker lost his job due to economic contraction. His job will return once the economy shows growth and the unemployment rate decreases.
5. AN AUTO WORKER IS FIRED AND REPLACED BY A ROBOTIC ARM THAT CAN DO HIS JOB MORE EFFICIENTLY. STRUCTURAL
EXPLAIN: The worker's skills are obsolete and he has been replaced by automation and technology. He will need to learn new skills to find work.
6. A FARM WORKER IN CENTRAL CALIFORNIA IS LET GO ONCE THE HARVEST IS DONE IN NOVEMBER. FRICTIONAL
EXPLAIN: The worker is seasonally unemployed because he is no longer needed now that the harvest is over. However, his job will return at the same time next year.
7. A TEACHER IS FIRED AT THE END OF THE SCHOOL YEAR DUE TO BUDGET CUTS IN A RECESSION. CYCLICAL
EXPLAIN: The worker lost her job due to economic contraction. Her job will return once the economy shows growth and the unemployment rate decreases.
8. A HIGH SCHOOL GRADUATE IS NOT PROPERLY PREPARED FOR ANY JOB HE APPLIES FOR IN THE WORK FORCE. STRUCTURAL
EXPLAIN: This worker does not have the skills to find a job in today's workforce, and he will need to learn new skills to find work.
9. A CASHIER AT TARGET IS LAID-OFF WHEN THE STORE INSTALLS AUTOMATIC CHECK OUT LINES. STRUCTURAL
EXPLAIN: The worker's skills are obsolete and she has been replaced by automation and technology. She will need to learn new skills to find work.

THE UNEMPLOYMENT Rate

calculating

PART D

First, answer the questions about employment below. Then, use the data provided to calculate the **UNEMPLOYMENT RATE** for each country. Then indicate if the unemployment rate is above, at, or below the **NATURAL RATE OF UNEMPLOYMENT**.

Define the **NATURAL RATE OF UNEMPLOYMENT**.

The 4-6% unemployment rate considered to be "FULL EMPLOYMENT" because structural and frictional unemployment is unavoidable in any economy.

Define **UNDEREMPLOYMENT**.

When workers are employed but have jobs for which they are overqualified, or they work fewer hours for lesser pay than they would like.

How does **UNDEREMPLOYMENT** lead some economists to criticize the **UNEMPLOYMENT RATE**?

Economists argue that the unemployment rate is inaccurate because it does not count underemployed workers as unemployed. Unemployment numbers may show improvement in the job market, but some of that improvement may be a result of workers taking part-time jobs or jobs for which they are overqualified.

REMEMBER!

$$\text{U.R.} = \frac{\# \text{ UNEMPLOYED}}{\text{LABOR FORCE}}$$

UNITED STATES



	2015	2016
UNEMPLOYED	5 MILLION	10 MILLION
LABOR FORCE	100 MILLION	125 MILLION

What was the unemployment rate in 2015? 5%

What was the unemployment rate in 2016? 8%

As of 2016, the unemployment rate was ABOVE the NATURAL RATE OF UNEMPLOYMENT.

GREAT BRITAIN



	2015	2016
UNEMPLOYED	4 MILLION	6 MILLION
LABOR FORCE	80 MILLION	100 MILLION

What was the unemployment rate in 2015? 5%

What was the unemployment rate in 2016? 6%

As of 2016, the unemployment rate was AT the NATURAL RATE OF UNEMPLOYMENT.